

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester II Examination, 2021-22

Paper No. BCF-122: Fundamentals of Business Finance

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.** Describe the concept of business finance and explain its nature and scope. [14]**OR**

Explain the various limitations of the profit maximization concept. How can we overcome these through the wealth maximization concept? [14]

Question 2. What is financial planning? Explain its nature and types. [14]**OR**

What do you understand by 'financial decision-making'? Throw light on its various aspects. [14]

Question 3. What are the determinants of the capital structure of a company? Does an optimum capital structure exist in an organization? [14]**OR**

Draw points of difference between over-capitalization and under-capitalization in an organization. [14]

Question 4. Define the concept of cost of capital. How would you determine the weighted average cost of capital of a firm? [14]**OR**

Write short notes on any two of the following: [14]

- (a) Cost of equity
- (b) Cost of debt capital
- (c) Cost of retained earnings

Question 5. What do you understand by capital budgeting? Discuss its process and importance. [14]**OR**

What is a dividend? Describe the factors affecting dividend policies. [14]

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